well, and one or two to be bonanzas that drive 100% of the fund's returns. Investment firm Correlation Ventures once crunched the numbers.[20] Out of more than 21,000 venture financings from 2004 to 2014:

65% lost money.

Two and a half percent of investments made 10x–20x.

One percent made more than a 20x return.

Half a percent—about 100 companies out of 21,000—earned 50x or more. That's where the majority of the industry's returns come from.

This, you might think, is what makes venture capital so risky. And everyone investing in VC knows it's risky. Most startups fail and the world is only kind enough to allow a few mega successes.

If you want safer, predictable, and more stable returns, you invest in large public companies.

Or so you might think.

Remember, tails drive *everything*.

The distribution of success among large public stocks over time is not much different than it is in venture capital.

Most public companies are duds, a few do well, and a handful become extraordinary winners that account for the majority of the stock market's returns.

J.P. Morgan Asset Management once published the distribution of returns for the Russell 3000 Index—a big, broad, collection of public companies—since 1980.[21]

Forty percent of all Russell 3000 stock components lost at least 70% of their value and never recovered over this period.

Effectively all of the index's overall returns came from 7% of component companies that outperformed by at least two standard deviations.

That's the kind of thing you'd expect from venture capital. But it's what happened inside a boring, diversified index.

This thumping of most public companies spares no industry. More than half of all public technology and telecom companies lose most of their value and never recover. Even among public utilities the failure rate is more than 1 in 10: